The Depository Trust Company

Financial Statements (Unaudited) as of September 30, 2025 and December 31, 2024 and for the three and nine months ended September 30, 2025 and 2024

DTCC Public (White)

THE DEPOSITORY TRUST COMPANY

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THE DEPOSITORY TRUST COMPANY

STATEMENTS OF FINANCIAL CONDITION (UNAUDITED)

(In thousands, except share data)	As of September 30, 2025	As of December 31, 2024
ASSETS		
CURRENT ASSETS:		
Cash and cash equivalents	$ 633,548	$ 590,362
Short-term investments	225,000	225,000
Accounts receivable - net of allowance for credit losses	62,070	55,412
Participants' Fund cash deposits	2,219,152	1,981,331
Other Participants' assets	2,609,654	422,599
Other current assets	9,265	6,066
Total current assets	5,758,689	3,280,770
NON-CURRENT ASSETS:		
Premises and equipment - net of accumulated depreciation of $11,030 and $10,551 as of September 30, 2025 and December 31, 2024, respectively	11,968	12,447
Intangible assets - net of accumulated amortization of $82,022 and $70,146 as of September 30, 2025 and December 31, 2024, respectively	51,039	45,394
Other non-current assets	34,266	40,575
Total non-current assets	97,273	98,416
TOTAL ASSETS	$ 5,855,962	$ 3,379,186
LIABILITIES AND SHAREHOLDERS' EQUITY		
CURRENT LIABILITIES:		
Accounts payable and accrued expenses	$ 70,040	$ 75,308
Participants' Fund cash deposits	2,219,152	1,981,331
Payable to Participants	2,609,654	422,599
Other current liabilities	4,050	21,127
Total current liabilities	4,902,896	2,500,365
OTHER NON-CURRENT LIABILITIES:		
Other non-current liabilities	8,163	6,132
Total liabilities	4,911,059	2,506,497
COMMITMENTS AND CONTINGENCIES (Note 2)		
SHAREHOLDERS' EQUITY		
Preferred stock, Series A, $100 par value - 3,250,000 shares authorized; 1,500,000 issued and outstanding	150,000	150,000
Common stock, $100 par value - 18,500 shares authorized, issued and outstanding	1,850	1,850
Additional paid-in capital	61,546	61,546
Retained earnings	731,507	659,293
Total shareholders' equity	944,903	872,689
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$ 5,855,962	$ 3,379,186

The Notes to Financial Statements are an integral part of these statements.

THE DEPOSITORY TRUST COMPANY

STATEMENTS OF INCOME (UNAUDITED)

(In thousands)	For the three months ended September 30, 2025	For the three months ended September 30, 2024	For the nine months ended September 30, 2025	For the nine months ended September 30, 2024
REVENUES				
Settlement and asset services	$ 163,661	$ 141,941	$ 462,209	$ 412,967
Other services	8,832	7,785	24,957	22,533
Total revenues	172,493	149,726	487,166	435,500
EXPENSES				
Employee compensation and related benefits	69,040	65,529	210,773	199,933
Information technology	19,309	16,552	52,092	46,297
Professional and other services	32,683	33,505	96,293	94,038
Occupancy	4,421	4,193	12,157	11,561
Depreciation and amortization	4,030	4,374	12,355	12,556
General and administrative	9,426	9,492	27,983	27,591
Total expenses	138,909	133,645	411,653	391,976
Total operating income	33,584	16,081	75,513	43,524
NON-OPERATING INCOME (EXPENSE)				
Interest income	42,128	45,056	117,778	135,467
Refunds to Participants	(29,775)	(31,598)	(81,284)	(95,289)
Interest expense	(2,649)	(2,749)	(8,011)	(8,188)
Other non-operating income, net	2,952	2,708	8,979	8,905
Total non-operating income	12,656	13,417	37,462	40,895
Income before taxes	46,240	29,498	112,975	84,419
Provision for income taxes	13,539	8,254	34,341	24,230
Net income	$ 32,701	$ 21,244	$ 78,634	$ 60,189

The Notes to Financial Statements are an integral part of these statements.

THE DEPOSITORY TRUST COMPANY

STATEMENTS OF CHANGES IN SHAREHOLDERS' EQUITY (UNAUDITED)

(In thousands)	Preferred Stock Series A	Common Stock	Additional Paid-In Capital	Retained Earnings	Total Shareholders' Equity
BALANCE - January 1, 2025	$ 150,000	$ 1,850	$ 61,546	$ 659,293	$ 872,689
Net income	—	—	—	23,685	23,685
BALANCE - March 31, 2025	150,000	1,850	61,546	682,978	896,374
Net income	—	—	—	22,248	22,248
Preferred stock dividend	—	—	—	(6,420)	(6,420)
BALANCE - June 30, 2025	150,000	1,850	61,546	698,806	912,202
Net income	—	—	—	32,701	32,701
BALANCE - September 30, 2025	$ 150,000	$ 1,850	$ 61,546	$ 731,507	$ 944,903

(In thousands)	Preferred Stock Series A	Common Stock	Additional Paid-In Capital	Retained Earnings	Total Shareholders' Equity
BALANCE - January 1, 2024	$ 150,000	$ 1,850	$ 61,546	$ 583,958	$ 797,354
Net income	—	—	—	17,513	17,513
Preferred stock dividend	—	—	—	(6,300)	(6,300)
BALANCE - March 31, 2024	150,000	1,850	61,546	595,171	808,567
Net income	—	—	—	21,432	21,432
BALANCE - June 30, 2024	150,000	1,850	61,546	616,603	829,999
Net income	—	—	—	21,244	21,244
BALANCE - September 30, 2024	$ 150,000	$ 1,850	$ 61,546	$ 637,847	$ 851,243

The Notes to Financial Statements are an integral part of these statements.

THE DEPOSITORY TRUST COMPANY

STATEMENTS OF CASH FLOWS (UNAUDITED)

(In thousands)	For the nine months ended September 30, 2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES:		
Net income	$ 78,634	$ 60,189
Adjustments to reconcile net income to net cash provided by/(used in) operating activities:		
Depreciation and amortization	12,355	12,556
Deferred income taxes	6,405	(818)
Other	23	891
Net change in:		
Accounts receivable	(6,681)	(185)
Other assets	(3,295)	(5,528)
Accounts payable and accrued expenses	(5,268)	10,202
Other liabilities	(15,046)	4,213
Participants' Fund liabilities	237,821	41,869
Payable to Participants	2,187,055	(2,402,117)
Net cash provided by/(used in) operating activities	2,492,003	(2,278,728)
CASH FLOWS FROM INVESTING ACTIVITIES:		
Purchases of Short-term investments	(625,000)	(200,000)
Maturities of Short-term investments	625,000	125,000
Capitalized software development costs	(17,521)	(15,222)
Net cash used in investing activities	(17,521)	(90,222)
CASH FLOWS FROM FINANCING ACTIVITIES:		
Dividend on preferred stock	(6,420)	(6,300)
Cash used in financing activities	(6,420)	(6,300)
Net increase/(decrease) in Cash and cash equivalents, Participants' Fund cash deposits, Cash in Other Participants' assets	2,468,062	(2,375,250)
Cash and cash equivalents, Participants' Fund cash deposits, Cash in Other Participants' assets - Beginning of period	2,994,292	7,200,347
Cash and cash equivalents, Participants' Fund cash deposits, Cash in Other Participants' assets - End of period	$ 5,462,354	$ 4,825,097
SUPPLEMENTAL DISCLOSURES:		
Interest paid	$ 7,985	$ 8,234
Income taxes paid - net of refunds	$ 48,501	$ 20,700

The Notes to Financial Statements are an integral part of these statements.

1. BUSINESS AND OWNERSHIP

The Depository Trust Company (DTC or the Company) is a limited purpose trust company formed under the Banking Law of New York State and supervised by the New York State Department of Financial Services (NYSDFS); a State member bank of the Federal Reserve System (FRS), subject to examination by the Federal Reserve Bank of New York (FRBNY) under delegated authority from the Board of Governors (the FRB) of the FRS; and a clearing agency registered with and under the supervision of the U.S. Securities and Exchange Commission (SEC). DTC provides central securities depository, settlement and related services to members of the securities, banking and other financial industries (referred to herein as its Participants).

DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (DTCC). Other subsidiaries of DTCC include National Securities Clearing Corporation (NSCC), Fixed Income Clearing Corporation (FICC), DTCC ITP LLC, DTCC Deriv/SERV LLC, DTCC Solutions LLC and DTCC Digital (US) Inc.

DTC is designated as a Systemically Important Financial Market Utility (SIFMU) by the U.S. Financial Stability Oversight Council pursuant to Title VIII of the Dodd-Frank Wall Street Reform and Consumer Protection Act of 2010, which subjects the Company to enhanced standards for risk management, operation and governance, as established by the SEC's Standards for Covered Clearing Agencies (CCAS).

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of presentation. The accompanying unaudited interim financial statements are prepared in accordance with generally accepted accounting principles in the United States of America (U.S. GAAP). The interim financial statements exclude some of the disclosures required in audited financial statements and should be read in conjunction with DTC's Audited Financial Statements for the years ended December 31, 2024 and 2023, which are located on the Company's website at *http://www.dtcc.com/legal/financial-statements*. See Note 2 in DTC's audited financial statements for the years ended December 31, 2024 and 2023, for additional information on the Company's Summary of Significant Accounting Policies.

The interim financial statements reflect all adjustments of a normal recurring nature that are, in the opinion of management, necessary for the fair presentation of the results for the interim period. The results of operations for interim periods are not necessarily indicative of results for the entire year.

Use of estimates. The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the amounts reported in the financial statements. Management makes estimates regarding, among other things, the collectability of receivables, the outcome of litigation, the realization of deferred taxes, unrecognized tax benefits, impairment of intangible assets, fair value measurements, expense allocations and other matters that affect the reported amounts. Estimates are based on judgment and available information; therefore, actual results could differ materially from those estimates.

Other Participants' assets and Payable to Participants. The Company receives cash and stock dividends, interest, reorganization and redemption proceeds on securities registered in the name of its nominee, Cede and Co., and interest and redemption proceeds on bearer securities, which it distributes to Participants. Balances comprised of cash that represent cash dividends, interest, reorganization, redemptions, and cash collateral received are included in Other Participants' assets, with a corresponding liability recorded in Payable to Participants, on the accompanying Statements of Financial Condition.

Commitments and contingencies. The Company is involved in legal proceedings and litigation arising in the ordinary course of business. In the opinion of management, the outcome of such proceedings and litigation is not expected to have a material effect on the accompanying Statements of Financial Condition, Income or Cash Flows.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Revenue recognition. The Company recognizes revenue to depict the transfer of promised services and related performance obligations to customers in an amount that reflects the consideration to which the entity expects to be entitled, upon satisfaction, in exchange for those services.

The Company derives its revenue from transaction fees, subscription revenue, and usage fees. Revenue from transaction fees is billed monthly and calculated based on the number of executed transactions and the established fee schedules, less any applicable volume discounts. The volume targets or thresholds for the discounts primarily reset monthly. Subscription revenues are recognized ratably over the performance period of the relevant contract using a time elapsed measure of progress as the customer receives the benefits of the services throughout the term of the contract. Usage fees are recognized when services are provided based on contractual terms.

Details for each revenue stream presented in the Company's Statements of Income follow:

S*ettlement and asset services.* Revenue derived from this revenue stream is in the form of transaction fees and subscription revenue. The Company provides settlement services for equity, corporate and municipal debt trades and money market instruments in the United States of America. Asset Servicing includes a broad range of services for underwriting, custody, corporate actions, dividend, proxy and reorganization services, as well as the electronic registration and transfer of securities processing.

Other services. Revenue derived from this revenue stream may be in the form of subscription revenue and usage fees, which include referential and activity-based announcement, security reference, and liquidity data through the DTCC Data Services product. These offerings are delivered in fixed or configurable formats, sourced from the Company's transaction, reference, position and asset servicing data.

Deferred revenue. Deferred revenue represents the Company's liability to perform services in the future related to payments received in advance of those services. Deferred revenue as of September 30, 2025 and December 31, 2024 was $3,413,000 and $3,494,000, respectively, and is included in Other current liabilities and Other non-current liabilities on the accompanying Statements of Financial Condition. Of the $3,494,000 as of December 31, 2024, $558,000 and $2,906,000 was recognized as revenue during the three and nine months ended September 30, 2025, respectively.

Expense allocations. Substantially all expenses are recorded at DTCC and are allocated to its subsidiaries, including DTC, based upon their estimated use of such goods or services as determined by various allocation factors including level of support provided and utilization of technology resources. Accordingly, the expenses in the accompanying Statements of Income represent allocated costs including Employee compensation and related benefits, Information technology, Professional and other services, Occupancy and General and administrative.

Reconciliation of Cash and cash equivalents and other limited use cash. When reconciling the beginning and ending total amounts shown in the Statements of Cash Flows, the Company includes all cash on the Statements of Financial Condition, regardless of which line it is included. The Statement of Cash Flows includes Cash and cash equivalents and cash balances that are not available for general corporate purposes due to certain limitations, including - Participants' Fund cash deposits and Cash in Other Participants' assets.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

A reconciliation of Cash and cash equivalents, Participants' Fund cash deposits, and Cash in Other Participants' assets, reported within the Statements of Financial Condition that sum to the total of the same such amounts shown on the accompanying Statements of Cash Flows follows (in thousands):

	September 30, 2025	December 31, 2024	September 30, 2024
Cash and cash equivalents	$ 633,548	$ 590,362	$ 716,371
Participants' Fund cash deposits (see Note 4)	2,219,152	1,981,331	2,026,603
Cash in Other Participants' assets (see Note 5)	2,609,654	422,599	2,082,123
Total Cash and cash equivalents, Participants' Fund cash deposits and Cash in Other Participants' assets shown on the Statements of Cash Flows	$ 5,462,354	$ 2,994,292	$ 4,825,097

Global Events and Crises. Global pandemics, sanctions, war, global cyber outage or natural disasters may have an adverse impact on market, economic and geopolitical conditions and trigger a period of global economic slowdown. Such a slowdown may have a material impact on the Company's financial results including changes in revenue, interest rates, liquidity/credit, and government and regulatory policy. At this time, the Company has not experienced any material adverse financial impacts from these events and crises.

3. ACCOUNTING AND REPORTING DEVELOPMENTS

Standard	Description	Impact on the financial statements or other significant matters
Financial Accounting Standards Board Standard Issued, but not yet Adopted		
ASU 2023-09 - Income Taxes (Topic 740): Improvements to Income Tax Disclosures *Issued December 2023*	• Enhances disclosures related to the rate reconciliation and income taxes paid. The amendment requires consistent categories and greater disaggregation of information in the rate reconciliation and income taxes paid disaggregated by jurisdiction. • The amendment requires disclosures of pretax income (or loss) and income tax expense (or benefit) to be consistent with the SEC Regulation S-X 210.4-08(h), Rules of General Application— General Notes to Financial Statements: Income Tax Expense, and eliminates disclosures that no longer are considered cost beneficial or relevant.	• Effective January 1, 2025 for annual reporting periods • The adoption of the standard has not had a material impact on the Company's financial statements and related disclosures.
ASU 2024-03 and ASU 2025-01 - Income Statement - Reporting Comprehensive Income - Expense Disaggregation Disclosures (Subtopic 220-40) *Issued November 2024 and January 2025, respectively*	• Enhances disclosures required for specified information about certain costs and expenses at each interim and annual reporting period of an entity.	• Effective January 1, 2027 for annual reporting periods, and January 1, 2028 for interim reporting periods. • The Company is evaluating the impact on its financial statements and related disclosures.
ASU 2025-06 - Intangibles - Goodwill and Other Internal -Use Software (Subtopic 350-40) *Issued September 2025*	• The amendment applies to all entities accounting for internal-use software and development costs under Subtopic 350-40. • Clarifies the capitalization criteria for software costs, requiring management authorization/commitment and a "a probable -to-complete" threshold. • Requires evaluation and disclosure of significant development uncertainty, including unresolved performance requirements or ongoing revisions.	• Effective January 1, 2028 for annual reporting periods. • The Company is evaluating the timing of adoption and impact on its financial statements and related disclosures.

4. PARTICIPANTS' FUND CASH DEPOSITS

Details for the Participants' Fund cash deposits as of September 30, 2025 and December 31, 2024 follow (in thousands):

	2025	2024
Total deposits	$ 2,219,152	$ 1,981,331
Less: Required deposits	1,151,000	1,133,000
Excess deposits	$ 1,068,152	$ 848,331

Participants' cash deposits in the Participants Fund may be applied to satisfy obligations of the depositing Participant, other Participants or DTC as pursuant to DTC's rules.

5. OTHER PARTICIPANTS' ASSETS

Details for the Other Participants' assets as of September 30, 2025 and December 31, 2024 follow (in thousands):

	2025	2024
Assets:		
Cash	$ 2,609,654	$ 422,599

The balance of the Other Participants' assets is subject to fluctuation due to the timing of when the Company receives the cash and stock dividends, interest, reorganization and redemption proceeds, and the subsequent distribution to Participants.

6. LINE OF CREDIT AND CREDIT RATINGS

Line of credit. The Company maintains a committed line of credit, pursuant to DTC's rules, to support settlement of its payment obligations in the event any of its Participants default. Details for the terms of the outstanding line of credit as of September 30, 2025 and December 31, 2024 follow:

	2025	2024
Committed Amount	$1.9 billion	$1.9 billion
Denomination	USD	USD
Number of Participants/Lenders	26/34	26/34
Borrowing Rate	The greatest of the FRBNY rate, Daily Secure Overnight Financing Rate (SOFR), or zero on the day of borrowing plus 1.40%	The greatest of the FRBNY rate, Adjusted Daily Secure Overnight Financing Rate (SOFR), or zero on the day of borrowing plus 1.40%
Maturity Date	July 2026	July 2025
Annual Facility Fee	0.10% (1)	0.10% (1)

(1) The annual facility fee associated with maintaining the line of credit is included in Professional and other services in the accompanying Statements of Income.

There were no borrowings under the line of credit during 2025 and 2024.

Details for debt covenants related to the committed line of credit as of September 30, 2025 and December 31, 2024 follow:

	2025	2024
Minimum Net Worth	$200 million	$200 million
Minimum Participants Fund deposits	$750 million	$750 million

As of September 30, 2025 and December 31, 2024, the Company was in compliance with its debt covenants.

Credit Ratings. The Company is rated by Moody's Investors Service, Inc. (Moody's) and S&P Global Inc. (S&P). Details for issuer credit ratings and ratings outlooks for the Company as of September 30, 2025 follow:

Moody's (1)			S&P		
Long-term	**Short-term**	**Outlook**	**Long-term**	**Short-term**	**Outlook**
Aa1	P-1	Stable	AA+	A-1+	Stable

(1) Moody's categorizes the long-term issuer ratings of the Company as a clearing counterparty rating (CCR) under the agency's Clearing Houses Rating Methodology.

7. FAIR VALUE MEASUREMENTS

See Note 9 in DTC's Audited Financial Statements for the years ended December 31, 2024 and 2023, for the Company's valuation basis, including valuation techniques and inputs, as well as the fair value hierarchy used in measuring the Company's financial assets and liabilities that are both accounted for at fair value and at other than fair value.

Financial assets and liabilities measured at fair value on a recurring basis.
There were no assets or liabilities measured at fair value on a recurring basis as of September 30, 2025 and December 31, 2024.

Financial assets and liabilities measured at other than fair value. The carrying values, fair values and fair value hierarchy levels of all financial instruments measured at other than fair value on the accompanying Statements of Financial Condition as of September 30, 2025 and December 31, 2024 follow (in thousands):

	2025				
	Carrying Amount	Total Fair Value	Level 1	Level 2	Level 3
Assets:					
Cash and cash equivalents	$ 633,548	$ 633,548	$ 633,548	$ —	$ —
Short term investment	225,000	225,000	—	225,000	—
Participants' Fund cash deposits	2,219,152	2,219,152	2,219,152	—	—
Other Participants' assets	2,609,654	2,609,654	2,609,654	—	—
Total	$ 5,687,354	$ 5,687,354	$ 5,462,354	$ 225,000	$ —
Liabilities:					
Participants' Fund liabilities	$ 2,219,152	$ 2,219,152	$ 2,219,152	$ —	$ —
Payable to Participants	2,609,654	2,609,654	2,609,654	—	—
Total	$ 4,828,806	$ 4,828,806	$ 4,828,806	$ —	$ —

	2024				
	Carrying Amount	Total Fair Value	Level 1	Level 2	Level 3
Assets:					
Cash and cash equivalents	$ 590,362	$ 590,362	$ 590,362	$ —	$ —
Short-term investments	225,000	225,000	—	225,000	—
Participants' Fund cash deposits	1,981,331	1,981,331	1,981,331	—	—
Other Participants' assets	422,599	422,599	422,599	—	—
Total	$ 3,219,292	$ 3,219,292	$ 2,994,292	$ 225,000	$ —
Liabilities:					
Participants' Fund liabilities	$ 1,981,331	$ 1,981,331	$ 1,981,331	$ —	$ —
Payable to Participants	422,599	422,599	422,599	—	—
Total	$ 2,403,930	$ 2,403,930	$ 2,403,930	$ —	$ —

Assets and liabilities measured at fair value on a non-recurring basis. There were no financial assets or liabilities measured at fair value on a non-recurring basis during the periods ended September 30, 2025 and December 31, 2024.

8. REPORTABLE SEGMENT

The Company determines its reportable operating segments based on a combination of factors, including the results reviewed by the chief operating decision maker (CODM), products and services provided, type of customer served, and geographic considerations. The Company's CODM evaluates the performance of the business as a whole and makes decisions about resource allocations based on the entity's net income. Net income is used by the CODM for monitoring and assessing the segment's performance, as well as making key decisions. As such, the Company determined that it operates as a single operating and reportable segment. The accounting policies used to measure the profit and loss of the segment are the same as those described in Note 2. The CODM is routinely provided with expense details that are limited to what is presented on the face of the Statements of Income.

The Company's CODM is DTCC's Executive Committee.

9. RETIREMENT PLANS

Defined contribution retirement plans. Eligible U.S. DTCC employees participate in one of two defined contribution plans, The Depository Trust & Clearing Corporation Employee Savings Plan (Employee Savings Plan) and The Depository Trust & Clearing Corporation Operations Level Employee Savings Plan (Operations Level Savings Plan). The Employee Savings Plan is a single employer plan covering non-bargaining unit employees. The Operations Level Savings Plan is a single employer plan covering bargaining unit employees.

Defined benefit pension and other postretirement benefit plans. Eligible DTCC employees participate in DTCC's non-contributory defined benefit pension and other postretirement plans, which provide for certain benefits upon retirement. DTCC's sponsored non-contributory plans include a defined benefit pension plan, supplemental executive retirement plan and benefit restoration plan. The other postretirement plans include retiree medical and life insurance plans for eligible retired employees and their beneficiaries.

Cost allocation. DTCC allocates the cost of these plans to its subsidiaries based primarily upon the estimated proportion of each subsidiary's salary cost relative to DTCC's total salary cost. The defined contribution retirement plans costs allocated to DTC were expense of $3,899,000 and $3,738,000 for the three months ended September 30, 2025 and 2024, respectively, and expense of $11,411,000 and $11,170,000 for the nine months ended September 30, 2025 and 2024, respectively, and are included in Employee compensation and related benefits in the accompanying Statements of Income. The defined benefit pension and other postretirement benefit plans costs allocated to DTC were income of $191,000 and an expense of $126,000 for the three months ended September 30, 2025 and 2024, respectively, and income of $601,000 and $324,000 for the nine months ended September 30, 2025 and 2024, respectively, and are included in Employee compensation and related benefits, Interest expense, and Other non-operating income, net, in the accompanying Statements of Income.

10. INCOME TAXES

Rollforward of unrecognized tax benefits for the nine months ended September 30, 2025 and 2024 follow (in thousands):

	2025	2024
Beginning balance	$ 5,701	$ 3,315
Increases/(Decreases):		
Prior period tax positions	1,982	—
Current period tax positions	488	572
Settlements with tax authorities	(560)	—
Unrecognized tax benefit	7,611	3,887
Accrued interest	247	1,369
Ending balance	$ 7,858	$ 5,256

The Company may take a tax position that does not meet the more-likely-than-not threshold of having a greater than 50% chance of being upheld if audited by the taxing authority. Such benefits are not reflected in the financial statements; however, they may affect the future effective tax rate if they are upheld. As of September 30, 2025, the total tax position benefit not recognized amounted to $11,573,000.

On July 4, 2025, the One Big Beautiful Bill Act was signed into law. The legislation did not have a material impact on the Company's income tax expense for the September 2025 quarter, and the Company does not expect it to materially change our effective income tax rate for 2025.

See Note 12 in DTC's Audited Financial Statements for the years ended December 31, 2024 and 2023 for additional information pertaining to the Company's income taxes.

11. SHAREHOLDERS' EQUITY

DTC Series A Non-Cumulative Perpetual Preferred stock. Under a plan adopted by the Board of Directors, each Participant of DTC is required to own shares of DTC Series A preferred stock. The ownership of DTC preferred stock is reported as non-controlling interests in the consolidated financial statements. There was $150,000,000 of DTC Series A preferred stock (1,500,000 shares at par value of $100 per share) outstanding as of September 30, 2025 and December 31, 2024. Dividends are subject to regulatory limitations and restrictions per the New York Banking Law and Federal Reserve Act and must be approved and declared by the Board of Directors. When declared, dividend amounts are based on the weighted-average rate of interest paid by the Company on required Participants' Fund deposits during the dividend period as disclosed in the DTC's rules.

Details of dividends paid to holders of the Series A Preferred Stock during the nine months ended September 30, 2025 follow:

Approved and Declared Date	Record Date	Payment Date	Declared Dividend	Dividend Paid
April 4, 2025	April 4, 2025	May 9, 2025	$ 6,420,000	$ 6,420,000

Details of dividends paid to holders of the Series A Preferred Stock during the nine months ended September 30, 2024 follow:

Approved and Declared Date	Record Date	Payment Date	Declared Dividend	Dividend Paid
March 19, 2024	March 19, 2024	April 9, 2024	$ 6,300,000	$ 6,300,000

12. CAPITAL REQUIREMENTS

As required by Rule 17Ad-22(e)(15) of the CCAS and pursuant to the Clearing Agency Policy on Capital Requirements, the Company must meet its total capital requirement by holding liquid net assets funded by equity. The total capital requirement for DTC is equal to the sum of the general business risk capital requirement and corporate contribution, as described below.

General Business Risk Capital Requirement. This capital requirement is held to cover potential general business losses so that the Company can continue operations and provide services as a going concern if those losses materialize. It is determined based on the Company's general business risk profile and estimated time to execute a recovery or orderly wind-down of critical operations and, at a minimum, is equal to six months of operating expenses.

Corporate Contribution. The corporate contribution is applied to losses of the Company as provided in DTC's rules. The amount of the corporate contribution is generally equal to 50% of the Company's general business risk capital requirement.

Details for the general business risk capital requirement, corporate contribution and liquid net assets funded by equity for the Company as of September 30, 2025 and December 31, 2024 follow (in thousands):

	2025	2024
General business risk capital requirement	$ 265,543	$ 255,604
Corporate contribution	132,772	127,802
Total requirement	398,315	383,406
Liquid net assets funded by equity	858,548	815,362
Excess	$ 460,233	$ 431,956

Capital Adequacy. The capital and leverage ratios required by the FRBNY and the NYSDFS as of September 30, 2025 follow:

	Ratio	Minimum Capital Ratio[(a)]	Well Capitalized Ratio[(a)]
Tier 1 capital ratio [(1)]	73.35 %	6.00 %	8.00 %
Total capital ratio [(1)]	73.35 %	8.00 %	10.00 %
Tier 1 leverage ratio [(2)]	16.68 %	4.00 %	5.00 %

(a) As defined by the regulations issued by the Federal Reserve, Office of the Comptroller of the Currency and the Federal Deposit Insurance Corporation.
(1) Total capital and Tier 1 capital include common stock, retained earnings and preferred stock. DTC's tier 1 capital and total capital ratios are based on tier 1 capital and total risk-weighted assets.
(2) Tier 1 leverage ratio is based on tier 1 capital and quarterly average total assets.

13. SUBSEQUENT EVENTS

The Company evaluated events and transactions occurring after September 30, 2025 through the date these financial statements were issued for potential recognition or disclosure. No events or transactions occurred during such period that would require recognition or disclosure in these financial statements.